

UHU047: FINANCIAL MANAGEMENT

L	T	P	Cr
2	1	0	2.5

Course Objectives:

1. Give an in-depth view of the process in financial management of the firm.
2. Improving students' understanding of the time value of money concept and the role of a financial manager in the current competitive business scenario.
3. Understanding of basic concepts such as time value of money cost of capital, risk and return, capital budgeting etc.
4. Enhancing student's ability in dealing short-term dealing with day-to-day working capital decision; and also longer-term dealing, which involves major capital investment decisions and raising long-term finance.

Introduction: Introduction to Financial Management - Goals of the firm - Financial Environments.

Time Value of Money: Simple and Compound Interest Rates, Amortization, Computing more than once a year, Annuity Factor.

Valuation of Securities: Bond Valuation, Preferred Stock Valuation, Common Stock Valuation, Concept of Yield and YTM.

Risk & Return: Defining Risk and Return, Using Probability Distributions to Measure Risk, Attitudes Toward Risk, Risk and Return in a Portfolio Context, Diversification, The Capital Asset Pricing Model (CAPM)

Operating & Financial Leverage: Operating Leverage, Financial Leverage, Total Leverage, Indifference Analysis in leverage study

Cost of Capital : Concept, Computation of Specific Cost of Capital for Equity - Preference - Debt, Weighted Average Cost of Capital - Factors affecting Cost of Capital
4L

Capital Budgeting : The Capital Budgeting Concept & Process - An Overview, Generating Investment Project Proposals, Estimating Project, After Tax Incremental Operating Cash Flows, Capital Budgeting Techniques, Project Evaluation and Selection - Alternative Methods

Working Capital Management: Overview, Working Capital Issues, Financing Current Assets (Short Term and Long Term- Mix), Combining Liability Structures and Current Asset Decisions, Estimation of Working Capital.

Cash Management: Motives for Holding cash, Speeding Up Cash Receipts, Slowing Down Cash Payouts, Electronic Commerce, Outsourcing, Cash Balances to maintain, Factoring.

Accounts Receivable Management: Credit & Collection Policies, Analyzing the Credit Applicant, Credit References, Selecting optimum Credit period. 4L

Tutorial Work:

Financial Modelling using Excel, Case study, Solving tutorial sheets of numerical problems related to Time value of money, securities valuation, Leverage, Cost of Capital, capital budgeting etc.

Course Learning Outcomes (CLOs) / Course Objectives (COs):

Upon completion of this course, students will be able to:

1. Improving students' understanding of the time value of money concept and the role of a financial manager in the current competitive business scenario.
2. Apply the methods and procedures for the valuation of bonds and equity share capital.
3. Apply the methods and procedures of financial management, with particular reference to investment evaluation, investment management, capital budgeting, risk management.
4. Estimate a company's cost of capital; determine whether a company is creating or destroying value; select a company's optimal mix of debt and equity financing; and compensate shareholders in the most convenient way.
5. Students' ability to deal with different issues of working capital management, financing of short term assets and cash management.

Text Books:

1. Pandey, I. M., Financial management, Vikas Publishing House Pvt. Ltd., Noida, 2011, 12th ed.
2. Chandra, Prasanna - Financial Management - Theory & Practice, Tata McGraw Hill.
3. Brigham. Eugene F. and Houston. Joel F. (2006). Fundamentals of Financial Management, 10th Edition, Cengage Learning
4. Khan, M.Y & Jain, P.K.: Financial Management; Tata McGraw Hill, New Delhi, 2008.

References Books:

1. Srivastava, Misra: Financial Management, OUP
2. Van Horne and Wachowicz : Fundamentals of Financial Management, Prentice Hall/ Pearson Education.
3. Brealey and Meyers: Principles of Corporate Finance: Tata McGraw Hill, New Delhi, 2008.
4. Keown, Martin, Petty and Scott (Jr): Financial Management: Principles and Applications; Prentice Hall of India, New Delhi, 2002.
5. Gitman, L.J: Principles of Managerial Finance; Addison Wasley, 2009.
6. Vanhorne, James C: Financial Management and Policy; Prentice Hall of India, New Delhi, 2002.
7. Kishore Ravi, M: Financial Management; Taxman, 2006.